

tendered their stock.⁴⁵ The sum, 12½ cents per share less than Buffett and Seabury had agreed to, infuriated Buffett. He decided that, rather than sell his position back to Seabury and Berkshire Hathaway, he'd take it over.

Buffett approached Otis Stanton to make an offer for his stock. Otis agreed to sell out to Buffett on the condition that Buffett make the same offer to Seabury, a condition that Buffett readily accepted.⁴⁶ Otis's Berkshire Hathaway holding pushed Buffett's position to 49 percent, which was enough to control the board. Buffett was formally elected a director of Berkshire Hathaway at a special meeting convened in April 1965.⁴⁷ When Seabury and his son, Jack, resigned from the board at a board meeting a month later, Buffett was elected chairman. The *New Bedford Standard-Times* ran a story about the takeover. Buffett, seeking to avoid raising the ire of the townsfolk of New Bedford as he had the townsfolk of Beatrice following his attempted liquidation of Dempster Mill Manufacturing Company, was quick to assure the paper that he would run the business, rather than liquidate it. Buffett later said of Berkshire:⁴⁸

So I bought my own cigar butt, and tried to smoke it. You walk down the street and you see a cigar butt, and it's kind of soggy and disgusting and repels you, but it's free . . . and there may be one puff left in it. Berkshire didn't have any more puffs. So all you had was a soggy cigar butt in your mouth. That was Berkshire Hathaway in 1965. I had a lot of money tied up in the cigar butt. I would have been better off if I'd never heard of Berkshire Hathaway.

Later, writing in his 1985 *Chairman's Letter* about textiles, Buffett described a commodity-based industry in which substantial excess capacity existed similar to the oil and gas industry in the 1970s, and suffering from similarly endemic industry-wide capital misallocation. Buffett's insights into investment and proper capital allocation allowed Berkshire to avoid making large capital expenditures in its namesake textile operation, each of which looked like an "immediate winner . . . [m]easured by standard return-on-investment tests," but offered "illusory" benefits for the reasons Buffett describes:⁴⁹

Many of our competitors, both domestic and foreign, were stepping up to the same kind of expenditures and, once enough companies did so, their reduced costs became the baseline for reduced prices industrywide. Viewed individually, each company's capital investment decision appeared cost-effective and rational; viewed collectively, the decisions neutralized each other and were irrational (just as happens when each person watching a parade decides he